and then automatically revised every year for the average general inflation in the country. If we take 200 per cent of the average per capita GDP as the reasonable exemption limit, the lowest slab of income tax can be determined at Rs 3 lakh and made exempt from taxation.

Second, surcharges and cesses should be abolished in the interest of a simple tax structure and for fair sharing of income tax revenues with the states. There is also no merit in complicating the tax structure by giving options for lower tax rates if one does not avail specified exemptions.

Third, a simple five-rate tax structure introduced: no tax for taxable income less than Rs 3 lakh, 5 per cent from Rs 3–10 lakh, 15 per cent from Rs 10–25 lakh, 25 per cent from Rs 25–100 lakh and 35 per cent for income over Rs 100 lakh. The minimum exempt tax slab of Rs 5 lakh should be adjusted every two years to retail price inflation.

Elimination/Rationalization of Deductions

Most income tax deductions look sensible on the face of it. However, they end up introducing unnecessary complications and distortions.

Take, for example, the deductions for construction of a house. This appears to be a good thing as it encourages people to construct their homes by availing loans. It encourages construction activity, which in turn gives a push to the infrastructure industry and also spreads banking and credit. However, the deduction for interest on loans taken for one’s personal house ends up discouraging construction of rental housing in the country. While lakhs of personal houses get constructed every year, the rental housing industry in the country is completely non-existent. Deductions and exemptions of interest from Public Provident Fund (PPF) and other small saving products discriminate against fixed deposits and other saving investment products in the banks and other financial institutions.

Likewise, deductions permitted for investments—backward area, technology parks, start-ups—may all be intended to encourage industrial